STANDARD OPERATING PROCEDURES MANUAL

LEGAL POLICY AND PROCESS

POONAWALLA FINCORP LTD

2025

Standard Disbursement Procedure for Legal Policy and Process

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Distribution List

Sr. No	Department	Approver Name	Approval Date
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I. Introduction

PFL is offering a gamut of financial products to its customers. The company is having presence in:

- Pre-owned Cars, Commercial Vehicle, Construction Equipment.
- Loan against Property
- Unsecured Product – Business Loan, Personal Loan, Loan to professionals
- Medical Equipment
- Machinery Loan
- Supply Chain Finance
- Gold Term Loan
- Consumer Finance
- Education Loan
- Shopkeeper Loan
- Others

As per the agreement executed with the Borrower(s), Co-Borrower(s) and Guarantor(s), they must pay the installment in terms of the agreement, on the due dates. In case of default, PFL has a right to terminate the agreement by issuing a notice, and the consequences of the said termination. are as follows: a) We can repossess the asset b) We can demand the surrender of the asset c) We can demand total dues including future dues. d) We can initiate Arbitration, Sec. 9 proceedings e) We can initiate proceedings u/s 138 Negotiable Instruments Act, u/s 25 PSS Act, for dishonor of cheque/NACH/ACH.

This procedure provides the process workflow of recovery in delinquent cases through different modes such as soft reminders & legal actions.

II. Purpose of the SOP

The objective of a framework for legal and litigation is.

- To act as a ready reckoner and guide for the entire gamut of legal and litigation activities
- It’s a guide defining portfolio control mechanisms.
- Outlines & standardise the legal process across product & geography.
- Ensuring transparency and bringing objectivity into day-to-day operations
- To define control mechanisms for various activities to minimise chances of fraud, non-compliances, etc.

III. List of Abbreviations

Abbreviation	Full-Form / Term/Description
PFL	Poonawalla Fincorp Limited
OD POS	Overdue Principle outstanding
ABF	Asset-based Finance
LAP	Loan Against Property
EMI	Equated Monthly Instalment
BKT	Bucket
CFR	Collection Follow-up Report

NHC	National Head Collection
OPS	Operations
CBC	Cheque Bouncing Charge
DFOF	Debtor For Other Finance
TL	Team Leader
POD	Proof of Dispatch
AD	Acknowledgment Due Card
YTD	Year to Date
PDC	Post Dated Cheque
SPDC	Security Post-Dated Cheque
MIS	Monthly Information Statement
AO	Authorized Officer for SARFAESI (As authorized by Management Committee)
EMD	Earnest Money Deposit
CRM	Customer Relationship Management
PMT	Pre-Matured Termination
S&S	Seize and Sold
TAT	Turnaround Time
NLH	National Legal Head
NBH	National Business Head
HO	Head Office
ODI	Overdue Interest
ZBH	Zonal Business Head
ZCH	Zonal Collections Head
NDOH	Next Date of Hearing
EPC	Expired Contract
TOS	Terms of Settlement
RO	Regional Office
NOC	No Objection Certificate
DRT	Debt Recovery Tribunal
TSR	Technical Search Report
SOA	Statement of Account
EP	Execution Proceeding
SLM	State Legal Manager
ZLM	Zonal Legal Manager
TCH	Territory Collection Head
ACH	Automated Clearing House
ECH	Electronic Clearing House

Standard Disbursement Procedure: Legal and Litigation

NIA	Negotiable Instrument Act
PO	Police Officer
CFO	Chief Financial Officer
CCO	Chief Compliance Officer
MD	Managing Director
NPA	Non-Performing Asset
MODT	Memorandum of Deposit of Title Deed
COD	Conveyance Deed
FPR	First Person Responsible
FRM	Fraud Risk Management
CGTMSE	Credit Guarantee Fund Trust for Micro and Small Enterprises
ECLGS	Emergency Credit Line Guarantee Scheme
PSA	Payment & Settlement Act
RF	Roll Forward
RMU	Record Management Unit
FCL	Foreclosure
NCM	National Collection Manager
DPC	Delay Payment Charges
SCN	Show Cause Notice

IV. Initiation Policy

Initiation Policy		
Product	**Proceedings**	**Revised Initiation Criteria (w.e.f. 01-04-2025)**
Unsecured Product (Business Loan, Personal Loan, Professional Loan, SME, STPL)	Demand Legal Notice (through digital mode only)	1-30 & 31-60 BKT (5K to 5 lacs ODPOS), except where Termination Notice Issued (**wherever E-mail addresses/Mobile No. are available)
	Sec.138/25	30+ BKT & ODPOS >=75K (Other than STPL) 30+ BKT & ODPOS >=50K (STPL), w.e.f. 01-12-24
	Termination Notice & Arbitration (Finnone)	1. 60+ BKT and ODPOS > 10 lakh (excluding Co-lending Cases - presently, UGRO & Lendingkart), w.e.f. 01-07-25 (Other Than STPL) 2. 90+ BKT and ODPOS > 5 lakh (excluding Co-lending Cases - presently, UGRO & Lendingkart) (STPL)
	Lok Adalat/Conciliation Camp on quarterly basis – For All Unsecured Product	List to be decided upon mutual discussion with Collection Team
ABF (Asset Based Finance) - Vehicle Loans	Demand Legal Notice (through digital mode only)	1-30 BKT & ODPOS>5K, except where Termination Notice Issued (Fresh-flow), w.e.f. 01-07-25 (**wherever E-mail addresses/Mobile No. are available)
	Dunning Notice	(a) 31 - 60 BKT & ODPOS > 35K (Fresh Flow), (b) Reissuance, RF to 31-60 BKT from 0 BKT in the last 2 months with ODPOS > 35K, (c) Re-issuance, where only Dunning Notice issued in more than 6 months and now in 30+ BKT, with ODPOS > 35K. Note: In cases where Termination Notice was already issued more than 6 months back, but Matter not yet referred to Arbitrator, termination notice is reissued instead of Dunning notice. (As per the calculation defined in Section-V below. Here ODPOS >35K is considered, as repossession is done in >35K cases only.)
	Termination Notice & Arbitration (with Section 17)- **POC cases-CARS24** (Finnone)	30+ BKT and ODPOS >2.50 lakh (No Dunning Notice if Termination Notice is issued in same BKT)
	Sec.138/25	60+ BKT & ODPOS >=75K
	Termination Notice & Arbitration-POC cases (Finnone) (excluding CARS24 cases)	90+ BKT and ODPOS > 5 lakh
LAP	Demand Legal Notice (through digital mode only)	1-30 & 31-60 BKT and ODPOS > 5K, except where Termination Notice Issued (**wherever E-mail addresses/Mobile No. are available)
	Pre-SARFAESI Notice	61 - 90 BKT & ODPOS>20 lakh (Fresh Flow)
	Termination Notice & Arbitration	60+ BKT & ODPOS >=75K but <20 Lakh
	Execution (EP Filing)	90+ BKT & ODPOS >=75K, where SARFAESI not applicable
	Sec.138/25	30+ BKT & ODPOS >=75K
	SARFAESI	On NPA, 90+ BKT and ODPOS >= 20 Lakh & ODPOS to Net Exposure Ratio >=20%

Medical Equipment & Machine Loan	Demand Legal Notice (through digital mode only)	1-30 BKT & ODPOS>5K, except where Termination Notice Issued (Fresh flow), w.e.f. 01-07-25 (**wherever E-mail addresses/Mobile No. are available)
	Dunning Notice	31-60 BKT & ODPOS > 35K (Fresh Flow), w.e.f.01-07-25
	Termination Notice & Arbitration	90+ BKT and ODPOS > 5 lakh (w.e.f. 23-10-24)
	Sec.138/25	60+ BKT & ODPOS >75K (w.e.f. 23-10-24)
For CGTMSE/ECLGS Cases (All Products)	Termination Notice & Arbitration	On receipt of list from Risk Governance team (as per SOP Version -PFL/CGTMSE SOP/1.00 and PFL/ECLGS SOP/1.00 w.e.f. Sept-2023) for providing 'Arbitrator's Acceptance' Letter for lodgment of claim before appropriate authority.

*SARFAESI to be initiated in all Linked Loan accounts in LAP portfolio, where any of the Linked Loans accounts of the borrower as main applicant is categorized as NPA in books of accounts. Further, the cumulative ODPOS of all the linked loan accounts should be >=20 lakhs. The linked loans are identified manually basis details available in Loan viewer tab in Finnone.

Notes:

1.- Initiation in legal activities for deviation cases requires NCM/Head Legal approval.

2. In case asset/s is/are lying in stock:

   a) Arbitration is not initiated as a process so that the asset/s can be sold in terms of the Agreement and Arbitration can be initiated for balance recovery, if any.

   b) In exceptional cases, NCM/Head Collection/Head Legal approval is required for initiating Arbitration even in stock cases.

V. Dunning Notice for ABF (Vehicle Loans)

Dunning is an effective collection follow-up tool. Dunning is a written/email communication to remind customers to pay Overdue loan amount as per the terms of loan agreement, on a timely basis, in order to avoid repossession of the financed asset

<u>Current Policy (31 To 60 BKT) (w.e.f. 01-09-2024)</u>

1. Dunning Notices to be sent every month in 31 To 60 BKT with ODPOS>35K (Fresh Flow-ABF cases) with repossession clause in auto-mode.

2. In addition to the above, Dunning Notice is to be re-issued for ABF proposals that were rolled forward to 31-60 Bkt from 0 Bkt in the last 2 months, with ODPOS>35K.

3. Also, Dunning Notice to be re-issued where only Dunning Notice issued in more than 6 months and now in 30+ BKT, with ODPOS > 35K.

   Note: In cases where Termination Notice was already issued more than 6 months back, but Matter not yet referred to Arbitrator, termination notice is reissued instead of Dunning notice. (Here ODPOS >35K is considered, as repossession is done in >35K cases only.) (w.e.f.01-04-2025)

Calculation Method:

1. Every month post receipt of CFR, all ABF proposals in 30+ Bkt with ODPOS>35K (31-60 Bkt as well as cases jumped directly to higher Bkt) are selected. Data for eligible cases for the month is prepared except for the following categories:
   a. Dunning Notice already sent cases.
   b. Termination Notice already initiated within 6 months
   c. Matter already referred to Arbitrator
   d. Asset already repossessed and currently in stock
   e. Negative or zero outstanding, due to unallocated collections (which have not yet been adjusted to customer loan).
   f. Termination Notice Issuance under process in POC-CARS24 cases as per eligibility criteria.

2. Every month post receipt of CFR, all ABF proposals which have rolled forward to 31-60 Bkt from 0 Bkt in the last 2 months with ODPOS>35K and Dunning Notice already issued are selected. To check Bkt from respective CFR of last 2 months. Data for the month is prepared except for the following categories:
   a. Termination Notice already initiated within 6 months
   b. Matter already referred to Arbitrator
   c. Asset already repossessed and currently in stock
   d. Negative or Zero outstanding, due to unallocated collections (which have not yet been adjusted to customer loan).
   e. Termination Notice Issuance under process in POC-CARS24 cases as per eligibility criteria.

3. Every month post receipt of CFR, all ABF proposals where only Dunning Notice issued in more than 6 months and now in 30+ BKT, with ODPOS > 35K are selected. Data for the month is prepared except for the following categories:
   a. Asset already repossessed and currently in stock
   b. Negative or zero outstanding, due to unallocated collections (which have not yet been adjusted to customer loan).
   c. Termination Notice Issuance under process in POC-CARS24 cases as per eligibility criteria.

   Similarly, every month post receipt of CFR, all ABF proposals where Termination Notice already issued in more than 6 months, but Matter not yet referred to Arbitrator and now in 30+BKT, with ODPOS > 35K are selected. Data for the month is prepared except for the following categories:
   a. Termination Notice already initiated within 6 months
   b. Matter already referred to Arbitrator
   c. Asset already repossessed and currently in stock
   d. Negative or zero outstanding, due to unallocated collections (which have not yet been adjusted to customer loan).

Activities followed for Issuance of Dunning Notice (ABF - Vehicles loan**)**

S. No.	Dunning Notice Activity Steps	Process Steps - PFL / Outsourced
1	Post receipt of CFR & DPC-CBC Register, Dunning Notice Control File prepared. Control file prepared to factor the eligibility parameters by Central Legal Back-office team member after receipt of CFR & DPC-CBC	PFL

	(DPC, CBC, and DFOF [unallocated collections]) Register by 5th / 6th working day of the month. The control file prepared by a Central Legal Back-office team member is reviewed and approved by the Central Legal initiation and back-office Team leader (TL). Dunning Notice to be sent to all parties within 10 Working Days from CFR Receipt Date / DPC-CBC Register Receipt Date (whichever is higher)	
2	Generate PDF files (CCA Proposals) for extracting Notice details in Oracle Report. Prepare Dunning Notice manually through mail-merge as per Oracle Report (For CCA Proposals) and as per party details received from IT Team (For FinnOne proposals) and sent to the vendor over email along with relevant data. All Dunning Notices are sent in Vernacular Language also.	PFL
3	Vendor to take print-out of Dunning Notices and prepare an envelope for dispatch through Regd. Post (with A/D) - Acknowledgement Due.	Outsourced to Vendor
4	Vendor to share dispatch details (POD No. & dispatch date) with Central Legal Back-Office for our records in Excel sheet. Vendor maps POD No. & dispatch date in Excel file shared by Central Legal Back Office Team.	Outsourced to Vendor
5	The Central Legal Back Office Team verifies the POD No. & dispatch date are mapped for all the customer details earlier shared. PFL will store hard copies of postal receipts with them for future use and the same is stored with Storage Vendor. Postal receipts are stored in Office-Cabinet initially and then stored with Vendor at least once a year based on the volume of documents. Vendor provides archival details to Central Back-Office team, which is maintained in MIS for future records.	PFL
6	Soft copy of Dunning Notice maintained and is available in one drive system uploaded by Legal Back-office team-member, to be provided by Central Back-Office Team as per requirement	PFL
7	Postage—The vendor will hand over the envelope to the Postal dept for postage through Regd. Post (with A/D). The postal dept. will raise the bill to PFL. Excel is shared with the dispatch vendor for them to return the same with POD details post-dispatch as proof of dispatch done through registered post and the same is checked and added to the YTD Dunning Notice dispatch data by Central Legal Back Office.	Outsourced to Vendor / PFL

VI. Demand Legal Notice through Digital Mode

Steps to be followed for issuance of Demand Legal Notice through Whatsapp and/or SMS and/or E-Mail: (w.e.f. 01-04-25)

S. No.	Activity Steps
1	Every month, Control file is prepared by Central Legal Back-office team member as per the above-mentioned eligibility criteria for issuance of Demand Legal Notice in Digital mode, i.e. through SMS, WhatsApp & E-mail.
2	Central Legal Back-Office team-member to map Legal Status (Arbitration, Sec.138/25, CAC, etc.) and other relevant details in the said proposal-list and exclude cases, where Termination Notice is issued / CAC is pending / any other strategy as applicable. Also, to exclude Co-lending cases. This Control file is reviewed and approved by the Central Legal Initiation and Back-office Team Leader (TL)
3	Central Legal Back-Office team-member to raise Service Request in PSD for extracting Borrower's Address, Mobile No. & E-Mail ID through DART Team.
4	Central Legal Back-Office team-member to share data with empaneled Law Firm / Internal Team through mail within 5 working days from the date of complete data received from DART Team for preparing and sending Demand Legal Notice to Customers through WhatsApp/SMS/E-mail.
5	Vendor / Internal Team will share a Sample Notice copy with the Central Legal Back-office Team through mail for vetting and approval over email. SMS, WhatsApp & E-mail audit logs will be maintained for future reference.
7	Vendor / Internal Team to send Notices to Borrowers (main applicant) only, though digital mode and share Delivery Report with Central Back-Office Team within 3 working days, which is reconciled by the Central Back-office team. The report is then shared with Collection Team for their reference and action as required, w.e.f. 01-07-25.

VII. Lok Adalat – For Unsecured Products (w.e.f. 01-04-2025)

Steps to be followed for Lok Adalat in Pre-Litigation Cases - For All Unsecured Product:

S. No.	Activity Steps
1	The proposal list of delinquent customers with Party details (Name & address of Borrower only) will be provided by NCM/Collection Team to Central-Legal Back-office Team through mail.
2	Central Legal Back-Office team-member to map Legal Status (Arbitration, Sec.138/25, CAC, etc.) and other relevant details in the said proposal list and exclude cases, where CAC is pending / any payment received from Customer as per Till File / any other strategy as applicable /Termination Notice already issued earlier, etc. Also, to exclude Co-lending cases. This Control file is reviewed and approved by the Central Legal Initiation and Back-office Team Leader (TL).

3	Central Legal Team to circulate the final data with RO Legal Team for arranging Lok Adalat as per schedule. TAT for circulation is 7 days from the finalization of control file.
4	RO Legal Team to approach State Legal Services Authority directly/through a lawyer to discuss the modus operandi, date, objective, no. of cases to be referred, panel, expenses, processes, and procedures to be adopted for Lok Adalat.
5	The State Legal Services Authority sends the Lok Adalat Notice to Customer and subsequently assigned advocate shares the Notice Date & Dispatch details with RO Legal team which forwards the same to Central Legal Back-office team. The RO legal as well as Central Legal Team will reconcile the same to ensure notices are sent as required.
6	Soft copies of Lok Adalat Notice to be maintained at location by RO Legal.
7	RO Legal team to share Final Outcome with Central Back-office team for data compilation post Lok Adalat.

VIII. Conciliation Camp – For Unsecured Products (w.e.f. 01-04-2025)

Steps to be followed for Conciliation Camp in Pre-Litigation Cases - For All Unsecured Product:

S. No.	Activity Steps
1	The proposal list of delinquent customers with Party details (Name & address of Borrower only) will be provided by NCM/Collection Team to Central-Legal Back-office Team through mail.
2	Central Legal Back-Office team-member to map Legal Status (Arbitration, Sec.138/25, CAC, etc.) and other relevant details in the said proposal list and exclude cases, where CAC is pending / any payment received from Customer as per Till File / Termination Notice already issued earlier, any other strategy as applicable, etc. Also, Co-lending cases are excluded. This Control file is reviewed and approved by the Central Legal Initiation and Back-office Team Leader (TL). Consolidated summary is sent to Collections with respect to cases taken up for conciliation and excluded cases as per above logic.
3	Central Legal Back-Office team-member to raise Service Request in PSD for extracting Borrower’s Address, Mobile No. & E-Mail ID through DART Team.
4	Central Legal Back-Office team-member to share data with empaneled Law Firm through mail within 5 working days from the date of complete data received from DART Team for preparing and sending Conciliation Notice to Customers through WhatsApp/SMS/E-mail, where Conciliator’s Name(Conciliator is assigned by Vendor), Conciliation Date & Time and URL to join online conciliation camp is also mentioned. Notices are sent in Vernacular language also. Customer can join the Conciliation camp by clicking on the link provided in notice.
5	The Vendor will share a Sample Notice copy for each language with Central Legal Back-office Team through mail for vetting and approval over email.
6	Vendor to send Notices to Borrowers (main applicant) only, though digital mode and share Delivery Report (Audit logs) with Central Back-Office Team within 3 working

	days, which is reconciled by the Central back-office team. The report is then shared with the Collection Team for their reference and action as required. No action for Legal Unit on non-delivery of notice through WhatsApp/SMS/E-mail.
7	The Conciliator conducts Conciliation Camp through an Online platform and passes the necessary Order after counselling the Customer. Customer verification is done before starting of counselling.
8	Law Firm to provide a Consolidated report on the Conciliation Camp for each customer who has appeared in Conciliation Camp. • This report is maintained at Central Legal Team and forwarded to Collection Team for their reference purpose. • Separate MIS is not maintained for Conciliation by Legal team. However, Delivery report, conciliation report etc. are maintained and are shared with Collections for further action.

IX. Legal As a Tool for Recovery

In terms of the Agreement executed between PFL & Parties, we initiate the following legal actions:

I. Arbitration proceedings under Arbitration & Conciliation Act, 1996
II. Section 9, Sec. 17 proceedings
III. Section 34
IV. Execution of Decree
V. Sec. 138 proceedings under Negotiable Instruments Act, 1881 / Sec.25 Payment & Settlement Systems Act, 2007
VI. SARFAESI
VII. Criminal Cases
VIII. Any other Civil Cases
IX. Lok Adalat & Conciliation

I. <u>Arbitration proceedings under Arbitration & Conciliation Act, 1996</u>

Arbitration is initiated in cases which meet the eligibility criteria and not in all cases. Eligibility criteria for initiation are mentioned above under the heading of 'Initiation Policy'.

TAT for issuance of termination notice is 15 working days from the date of receipt of CFR/Agreement Copy in vehicle loans, unsecured loan and Medical Equipment/Machine Loan cases. For LAP & S&S cases, 15 working days from the date of receipt of CFR or Agreement copy or Dossier.

<u>Process for Issuance of Termination Notice:</u>

The initiation control file is prepared to factor the initiation eligibility parameters by Central Legal Back-office team members after receipt of CFR by the 5th / 6th working day of the month. This file is reviewed and approved by the Central Legal Initiation and Back-office Team Leader (TL).

For Finnone cases, Termination notices are sent to all parties as per Party details (Name & Address of all parties) received from IT Team upon request. For CCA cases, notices are sent to all parties as per system data.

The Central Legal Back-office team member then prepare data manually for issuance of Termination Notice through Advocate to be sent to customers and all other parties to the agreement by Advocate through Registered post calling upon them to make payment of the entire loan outstanding including other dues in terms of the loan agreement. Data will be shared with respective Advocate through e-mail. Central Legal Initiation and Back-office Team Leader/Arbitration TL will be marked in all mails sent to Advocate for issuance of Termination Notice.

TAT for issuance of Termination notice is 15 working days from the date of receipt of CFR or Agreement copy or Dossier and the same is monitored by the Team Leader of Central Legal Back Office Team, through termination notice date in ORACLE report and CFR /Agreement copy / Dossier received date.

[NB: For FinnOne cases, the TAT is tracked through a manual Excel tracker (Arbitration Initiation Tracker_FinnOne) as the same cannot be monitored through the ORACLE system due to non-integration of the system.]

Office-copy of the Termination Notice generated from CCA is readily available in the system, however, hard-copy of the same with postal receipt is also maintained with Central Legal Back-office Team and used for Arbitration purposes (till Feb'24).

From March'24 onwards, all Termination Notices are sent through Advocates. Advocate will share scanned copy of the Notices with POD and dispatch details in excel file with Central Legal Back-office team-member/Arbitration Team for record purpose. The Central Legal Back-office team-member will store soft-copy of these notices in One-Drive and also check and update dispatch details in manual dispatch master for both CCA and Finnone proposals. Hard copy of the notices are maintained in Advocate's Office for Arbitration purposes.

<u>Process for Issuance of Arbitrator Appointment:</u>

Reference control file is prepared factoring the initiation eligibility parameters by Central Legal Back-office team member after receipt of CFR by the 5th / 6th working day of the month. This file is reviewed and approved by the Central Legal Initiation and Back-office Team Leader (TL).

Availability of Agreement copies with Stamp Paper are checked in the CCA oracle & Finnone and if not found, then a request initiated to HO-OPS (RMU Team) over e-mail along with approval of Central Legal Head to extract and share the same. If in case, there is request for original documents retrieval, then Legal Head approval to be obtained specifying the date of return of original document and FPR Name (responsible to safekeep the document). Further Extension, if required, approval from Legal Head to be obtained along with revised timelines and share with HO-Ops (RMU Team), w.e.f.01-07-25.

HO-OPS Team gives confirmation over mail after sending documents as per the given request.
TAT for sending request mail to HO-Ops is 5 working days from the date of finalization (TL approval) of arbitration cases and 5 working days from the date of receipt of approvals in case of non-eligible cases-initiated basis sales/collections/ Legal Head request.

Agreement pending tracker for Eligible cases and request based cases is circulated with HO-Ops (RMU Team) on weekly basis to track and monitor delays in receipt of agreement copies with Stamp Paper.

Allocation of Arbitrator is done by Central Back-office team members as per the Arbitrator Allotment tracker for eligible cases during Termination Notice Stage only. Team Leader-Arbitration checks and approves the allocation of Arbitrator for eligible cases or recommends Arbitrator Name over mail for request-based initiations.

The Central Legal Back-Office team-member prepare data and share with respective Advocates for issuance of Arbitrator Appointment letter to customers and all other parties to the agreement through

Registered post. Data will be shared with respective Advocate through e-mail. Central Legal Initiation and Back-office Team Leader/Arbitration TL will be marked in all mails sent to Advocate for issuance of Arbitrator Appointment Letter.

Scanned copy of Arbitrator Appointment Letter issued through Advocates are shared with PFL for record purpose and hard copy of the same is maintained in Advocate's Office for Arbitration purposes.

TAT for appointment of Arbitrator is 10 working days for Vehicle loans, LAP, S&S, unsecured loans and Medical Equipment/Machine Loan from the date of receipt of CFR / Agreement / Dossier / 10 days from Termination Notice Date for Vehicle loans, LAP & S&S and Medical Equipment/Machine Loan / 15 days from Termination Notice Date for unsecured loans, post expiry of stipulated time given in the Notice from Notice dispatch date, whichever is higher & applicable.

TAT is tracked through ORACLE report and manual tracker (for agreement copy/dossier cases) and monitored by the Team lead.

[NB: For FinnOne cases, the TAT is tracked through a manual Excel tracker (Arbitration Initiation Tracker_FinnOne) as the same cannot be monitored through the ORACLE system due to non-integration of the system.]

Agreement copies are shared with respective advocates through mail/shared link within 10 working days from Arbitrator Appointment date to carry out Arbitration proceeding.
Central Legal Initiation and Back-office Team Leader/Arbitration TL will be marked in all mail sent to Advocate.

Office-copy of the Arbitrator Appointment Letter generated from CCA is readily available in the system, however, hard-copy of the same with postal receipt (duly acknowledged by the Arbitrator) is also maintained with Central Legal Back-office Team for future records and used for Arbitration purposes. (till Feb'24). The arbitrator is appointed in terms of the Arbitration clause mentioned in the loan agreement.

From March'24 onwards, all Arbitrator Appointment Letters are sent through Advocates. Advocate will share scanned copy of the same with POD with Central Legal Back-office team-member/Arbitration Team for record purposes. The Central Legal Back-office team-member will store soft-copy of these notices in One-Drive. Hard copy of the notices are maintained in Advocate's Office for Arbitration purposes.

Arbitration Proceedings & Award

1. Arbitration is the most common method of Alternative Dispute Resolution. Arbitration is the process by which an experienced legal professional (Arbitrator) hears a dispute and makes a ruling (Award) concerning the dispute. Ruling of the Arbitrator has the force of law and is binding on the parties.
2. PFL has an arbitration Clause in the agreement and in case the customer defaults, the Arbitrator is appointed in terms of the Agreement. After the appointment of the Arbitrator, he conducts meetings by calling all parties to the agreement. During the arbitration proceedings, PFL files a Statement of Claim and the other parties also file their objections. After hearing of the matter, the Arbitrator passes the Award (Final Order).
3. During the arbitration proceedings, Arbitrator can pass interim orders at the request of the parties under Sec. 17 of the Arbitration Act.

4. In the Arbitration proceeding initiated by PFL against the customer and his guarantor, PFL prays before the Arbitrator for recovery of the total amount due under the agreement and declaration of PFL's ownership right on the financial asset and its right to repossess and sell the asset.
5. After the award is matured for decree, execution can be filed against the hirer and guarantor for recovery of the total outstanding amount as per the award by attaching the financed asset and the movable and immovable property of the hirer/s and his guarantors.

II. INTERIM RELIEF U/S 9 & 17 OF ARBITRATION ACT

Before initiation, during pendency of arbitration proceedings and after passing of Arbitration award but before enforcement thereof, PFL can file an application u/s 9 Arbitration act for seeking Interim relief to secure the debt in the underlying money dispute. If the arbitration proceedings have already been initiated, PFL can also move similar application before Arbitral Court itself, while seeking similar interim relief.

Interim relief may be of following types:-

- Preservation/interim custody/disposal of any goods which are the subject matter of the Arbitration Agreement.
  like appointment of Receiver and obtaining police assistance for taking Repossession of financed asset and later Sale thereof.
- Securing the amount in dispute in the Arbitration.
  like for obtaining Stay order on operation of Bank account or Stay on sale of moveable or immoveable assets of Customer and Guarantor.
- Detention/Preservation/ inspection of any property or thing which is the subject matter of dispute in arbitration.
  like for Inspection of Factory/ Godown and Preparing an Inventory of Assets lying therein.
- Garnishee orders – an order from Court/Arbitral Tribunal that allows PFL to recover debt from third party, who owes our Borrower some money.
  Like for order directing an employer to hold the release of Salary to employee and instead make payment of amount to PFL in satisfaction of its debt.
- For such other interim measure of protection as may appear to be just and convenient to the Court.

Pre-requisites for Applying for Interim Orders in Court: -

(a) Traceability of moveable assets for Repossession in POC cases
(b) Address of moveable and/or immoveable assets vehicle and ownership proof if available (e.g. Sale deed copy, RC copy, salary slip, P&L statement & Balance sheet, Bank account and other details available in loan application form)
(c) For Garnishee order – Name and complete address of third party who owes money to the borrower/guarantor.
(d) For appointment of Receiver on Inventory/stock – Nature of business, address of showroom/go down /factory.
(e) Name and address of principal Buyers/Debtors as available on the loan application form/borrower's website.

Initiation criteria: Sec.9 and Sec.17 are to be initiated on a request basis, subject to applicable provision of the Arbitration Act, with NCM and/or Legal Head approval. For Cars24 cases, Sec.17 is initiated in auto-mode as per aforementioned initiation policy.
Interim order soft copy is shared with concerned collections team over email for further action.

III. <u>Out-of-Court Settlement:</u>

It is a formal arrangement to resolve a legal proceeding made by and between the parties involved without Courts/Tribunals' involvement or intervention. Wherever the settlement, is recorded in writing during the pendency of legal proceedings, the Terms of Settlement/Memorandum of Understanding, signed by both the parties is submitted before the respective Courts/Tribunals, if legal is already initiated.

The Terms of Settlement/Memorandum of Understanding are executed with the approval of Head-Collection.

IV. <u>SECTION 34</u>

Any party to the arbitration proceedings, if aggrieved by the award, can challenge the award under sec 34 of the Arbitration & Conciliation Act, 1996 within 90 days from the date of receipt of the Award, before the Court having jurisdiction. The court then passes on judicially the veracity of the award and either cancels the award and orders fresh reference or upholds the award. If any party is aggrieved upon the order by a court under sec 34 of the Arbitration & Conciliation Act, 1996, the said party may file an appeal.

V. <u>EXECUTION OF AWARD</u>

The award becomes a decree after 90 days from the date of receipt of the award by the parties. Once the award is passed, the award copy is sent by an advocate to the company (Central Legal team).

Soft-copy of Award are received from respective Advocate for future requirements and hard-copy maintained in Advocate's Office only.

Advocate will send the soft copy of Award through mail/shared drive to Central Legal team. The same would be stored in One Drive of Central Legal Back-Office team-member. The Award Pending Tracker is shared with TL Arbitration on a monthly basis by Central Legal Back-office team-member. The TL Arbitration of Central Legal Team monitors the award.

Execution to be filed cases are prepared on a monthly basis and shared with SLM/Central Legal Arbitration TL for the next course of action (EP Filing MIS).

TAT for execution filing is the end of the eligible month and the same is monitored and tracked by basis Execution Report. Execution filing is done only with NCM/Collection Head/Legal Head approval in non-eligible cases as per the policy.

Execution filing MIS is circulated to SLM and ZLM monthly for monitoring and tracking EP filing cases. Overall monitoring of EP cases is done through Ageing Tracker.

The eligible criteria for Execution filing are mentioned above under the heading of 'Initiation Policy'.

In execution proceeding we can take orders on the vehicle under the agreement, attachment, and disposal of movable /immovable property of the hirer/ guarantor, realization of receivables (money payable by a third party) of hirer / guarantor, civil imprisonment of hirer / guarantor, etc. Execution can be filed at Kolkata and proceeded with or filed at Kolkata and Decree transferred to the respective local court. Execution can also be filed directly at the location court and such cases are looked after by the State Legal Manager and are monitored by Zonal Legal Manager. Jurisdiction of High Court, Calcutta where claim amount > Rs. 10 lakhs, if it is decided can be filed at High Court, Calcutta with NCM/Head Collection/Head Legal approval.

VI. Cases Under Negotiable Instruments Act, 1881 (Sec 138 Cases) & Payment & Settlement Systems Act, 2007 (Sec 25 Cases)

We, in PFL, adopt two legal methodologies to recover our dues from defaulting customers. One is through Arbitration, which is a civil procedure, and the other is through Negotiable Instruments Act/Payment & Settlement Act cases, which is a criminal procedure. If the cheque & other instruments (e.g.-ACH / ECH) provided by the hirer at the time of execution of the agreement is dishonored, in that case, criminal proceedings can be initiated for such a dishonor of instruments (physical & digital).

Meaning of cheque dishonor

When any cheque, drawn by a person for the discharge of any liability, partial or full, is returned by the bank unpaid, because of insufficiency of the amount of money, standing to the credit of the account on which the cheque was drawn or, for the reason that it exceeds the arrangements made by the drawer of the cheque, the cheque is said to have been dishonored.

Pre-conditions to file case u/s. 138 of N.I. Act

To proceed under Section 138, the following events should have occurred:

1. The cheque in question should have been issued in discharge of whole or part of a debt or liability otherwise the maker of the cheque is not liable for prosecution. For example, if the cheque is given as a gift or present and not towards the discharge of any legally enforceable obligation or debt or liability) and if the bank dishonors it the maker of the cheque is not liable for prosecution.
2. A cheque should have been presented to the bank within a period of three months of the date on which it is drawn or within the period of its validity, whichever is earlier.
3. The dishonor of the cheque should be due to certain defined reasons, e.g., “Funds Insufficient,” “Exceeds Arrangement,” “Refer to Drawer,” “Stopped payment” etc.
4. The payee or holder in due course of such cheque should have made a demand for the payment of the said amount of money by giving a notice, in writing, to the drawer of the cheque within thirty days of the receipt of the information by him from the bank regarding the return of the cheque unpaid; and
5. The drawer of such a cheque should have failed to make the payment of the said amount of money to the payee or the holder in due course of the cheque within fifteen days of receipt of the said notice.
6. A complaint can be made only by the payee or holder in due course within one month of the drawer failing to make payment after 15 days of receiving notice.

Procedure in Magistrate's Court

Broadly, the steps are as follows:

1. If the magistrate is of the opinion that there are sufficient grounds for proceeding, he shall call the complainant for pre-summoning evidence, and the necessary documents are exhibited.
2. Thereafter summons are issued for the attendance of the accused.

3. If the accused fail to appear despite service of summons, then warrants (Bailable) are issued by which Police authority is instructed to arrest the accused and grant bail with an instruction to appear before the Court on or before the date as mentioned in the warrant of arrest. The police then send a Report to the Court mentioning that the accused was arrested and instructed to appear before the Court.
4. If the accused fails to appear before the Court on the date fixed and after going through the Police Report, a Non-Bailable Warrant of arrest is issued against the accused (such Nonbailable Warrant can be issued at any stage after the accused appears but does not appear or take any steps in subsequent date/s) by the Magistrate directing the police to arrest the accused and produce the accused before the Court;
5. Once the accused appears before the court, the particulars of the offense are stated to the accused, and he shall be asked whether he pleads guilty or has any defense to make.
6. If the accused pleads guilty, the magistrate shall record the plea and convict him.
7. If the accused does not plead guilty, then the evidence adduced by the complainant is recorded.
8. The Magistrate will inform the accused about what incriminating evidence has been adduced by the complainant against him and will ask him if he wants to adduce evidence to rebut (disprove) the evidence of the complainant.
9. If the accused wants to present evidence to prove innocence, the Magistrate shall proceed to take the evidence as may be produced by both.
10. On the hearing and evidence followed by the Argument the Magistrate shall pass the order of conviction or acquittal.

Punishment prescribed under the act for the dishonor of a cheque/other instruments.
The Negotiable Instruments (Amendment and Miscellaneous Provisions) Act, 2002 prescribes imprisonment, which may extend to two years, or payment of a fine, which may extend to twice the amount of the cheque or both for an offense under section 138.

We, in PFL, file NI Act cases against the defaulting customers to recover our dues. The policy of initiation of NI Act cases is described in detail in the later part of this module. As Negotiable Instruments Act/Payment & Settlement Act cases are Criminal in nature, customers often fall under pressure when Warrants, Proclamations, and attachments are issued. That makes them vulnerable and thus clear their dues or settle their accounts.

Different important stages of Negotiable Instruments Act cases / Payment & Settlement Act cases
NIA/Payment & Settlement Act case can be filed against the person who has issued the cheque/other instrument (it may be the Hirer / Co-Hirer / Guarantor). After the case is filed in the Court the major stages that a case goes through are Summons, Warrant, Proclamation, Attachment, Plea, Evidence, and Judgment. During the pendency of an NIA/Payment & Settlement Act case parties do approach us for settlement (especially in Warrant and Proclamation stage). Also, when the parties appear before the Court, we approach them to settle the dues.

Warrants/Proclamations/Attachments
These are potential instruments for creating pressure upon the defaulters. We can approach the concerned defaulters and sensitize them about the outcome and stigma of Warrants etc. – including the possibility of their going behind bars after being arrested and convincing them to pay their dues. We also pray before the Magistrate for the Attachment of the property of the accused person after Proclamation is issued and the Proclamation is published. We also pray before the Magistrate for publication of the Proclamation Order in a newspaper. We do not go for blanket orders as paper

publication involves a lot of costs and so we pray for such orders only in certain cases as identified / approved by the concerned Zonal Bucket Head.

X. Different Policies for Initiation of NI Act Cases

Eligibility criteria for initiation are mentioned above under the heading of 'Initiation Policy'.

Various activities followed towards the initiation of Sec.138/Sec.25 legal proceeding:

S. No.	Sec.138 / 25 Activity Steps	Process Steps – PFL / Outsourced
1	Post receipt of CFR, Sec.138 Initiation Control File prepared	PFL
2	Request sent for ACH bounces availability to Banking Ops team.	PFL
3	Post confirmation request sent for mandate & bounce memo were ACH bounce available.	PFL
4	In balance cases where ACH Bounce Memo is not available, the request is sent to Banking Ops Team for SPDC / PDC, if the loan a/c is delinquent. SPDC / PDC are received from Banking Ops Team through the vendor.	PFL
5	After receiving the bunch of SPDCs, the same are filled up and handed over to Vendor at Kolkata on behalf of the Banking Ops team for deposition. Cheques are filled up for deposit in the bank. On receipt of the cheques from the Vendor on behalf of the Banking Ops team, the Initiation Back-office Team member downloads the Oracle Report [Statement of Legal Requisition Under Sec 138] to calculate the total amount (as per amount fill-up policy mentioned below) to be filled in the cheques and by downloading the PMT from oracle for S&S Cases. The filled cheques are handed over to Vendor on behalf of the Banking Ops team for banking. Amount Fill-up Policy: All cases (except S&S) - OD+POS + (50% of DPC as on date) (In cases where Termination Notice has been issued & the proposed cheque amount is rounded off to the multiple of 5k (lower side). The amount is less than the Termination amount). ONLY OD (In cases where Termination Notice has not been issued).	PFL

	In S&S cases - OD+POS + (50% of DPC) – SALE AMOUNT (The proposed cheque amount should be less than the Termination amount)	
6	**SPDCs** - Bounced instrument along with bounce memo received from Banking Ops team and data prepared for issuance of demand notice through mail merge and dispatch data. **ACH** - In case of ACH bounce mandate and memo received and data is prepared for issuance of demand notice through mail merge and dispatch data. TAT for issuance of Demand Notice is 15 working days from receipt of Bounced Instrument. TAT is tracked through the "Sec 138 NIA MIS Report" Oracle report/MIS and monitored by a team lead on a monthly basis.	PFL
7	Above mentioned data for issuance of Sec 138 / 25 demand notice and dispatch data, with a copy of the cheque and bounce memo will be allocated in between Advocates as per Advocate performance upon approval from Central Legal Head.	Outsourced to Advocates, scanned copy of cheques and bounce memos will be shared, and Originals will be stored at PFL. Scanned copy of required documents would be shared with Vendor for Notice issuance.
8	Advocate will issue a demand notice to the accused Party(s) and complete postage of the same and store the notice along with the postal receipt.	Outsourced to Advocates
9	The advocate will add POD no. and dispatch date in the dispatch data in Excel format shared over mail and shared to PFL. There is reconciliation being done to ensure that the respective Advocates have sent all the demand notices. TAT is 3 working days from the Notice date. Required data is captured in Tracker maintained by Central Back-office Team once data is received from the respective Advocate.	Outsourced to Advocates
10	The PFL In-house team will share confirmation to the Advocates regarding cases to be filed out of the demand notice issued data.	PFL
11	Advocates will file the cases in respective courts and send MIS to PFL.	Outsourced to Advocates
12	Advocates will dispatch Summons / Warrants etc. and share dispatch data with POD details along with a scanned copy of the instrument to PFL back-office team within 1 month of the Instrument Order.	Outsourced to Advocates
13	Instrument copies will be shared with the recovery team through a shared drive.	PFL

14	Physical files will be prepared and stored at advocate premises only.	Outsourced to Advocates
15	PFL will share cases to be withdrawn data that advocates will take steps accordingly. Withdrawal is done based on required eligibility criteria / conditions. 1. Cases not appearing in CFR and EPC (expired contracts), or 2. With NCM/Head Collection /Head Legal approval for specific cases. 3. Proposal list received from Ops. on Weekly basis for closed cases. TL checks withdrawal of Sec.138/25 to ensure no case is withdrawn without required eligibility criteria / approval as applicable.	PFL
16	Advocate will share monthly MIS along with status/stage and NDOH (Next date of hearing) to PFL. Sec 138 team will be monitoring the MIS, Status, etc. at the end of the PFL and raising any instructions / requirements if required.	Outsourced to Advocates
17	Advocates will share a soft copy of the notice as per the requirement of PFL.	Outsourced to Advocates

The initiation control file prepared by the Initiation Back-office Team member is reviewed and approved by the Central Legal initiation and back-office Team leader (TL)

Uploading Of Sec. 138 Legal Instruments

Copy of Legal Instruments of Sec.138/Sec.25 (Filed from Central Legal) i.e., Summons, Warrants & Proclamations are uploaded in the 'OneDrive' Database by Central Legal Team and shared through Microsoft Teams to make it available for Collection & Legal team in respective locations. Scan copies of Legal Instruments are available in the database in specific location folders (as per Proposal's Location) having file name being the respective proposal nos.

Master MIS for the above is uploaded in the same database in the folder (Folder Name: NI Act Against Case Co Criminal). The same can be downloaded and saved.

XI. Abeyance Of Legal Proceedings

Approval of Head-Collection/NCM/Head Legal is necessary to keep the legal proceeding in abeyance when arbitration, execution, Section 9, Section 34, and Section 138 proceedings are going on. Terms of Settlement (TOS) can be executed in such cases with the approval of Head-Collection/NCM/Legal Head.

When the Receiver is appointed to take possession / make an inventory and the Receiver visit needs to be stopped, in such cases we must withdraw the proceedings with liberty to file afresh and for said withdrawal, Head-Collection/NCM/Legal Head approval is required.

XII. Withdrawal Of Cases

Withdrawal of legal cases can be of two types:

1. Withdrawal of legal cases with liberty to file in case of future default: In these cases, the legal proceeding is withdrawn for the time being with the option to file in case of future default only on Head-Collection/NCM/Head Legal approval.

2. Withdrawal as finally settled and closed in system: In these cases, the legal proceeding is withdrawn as fully and finally settled and closed in system, on such withdrawal, no legal proceeding is initiated in the future.

Documents/Information referred for withdrawal as the case may be:

1. Approval mail and/or account closure mail. Head-Collection/NCM/Head Legal approval & Accounts Closure Mail received from RO Legal and Others.
2. Proposal should not appear in CFR as well as in EPC Register.
3. Proposal list received from Ops. on Weekly basis for closed cases.

Each month closed cases data need to be provided by Central-LEGAL MIS (Not appearing in CFR & EPC Register), based on which Central-Legal/Branch Legal will take necessary steps for withdrawal of legal proceedings in such cases, monthly after receipt of CFR & EPC Register. To withdraw in the same month, however, withdrawal of cases also depends on Court.

XIII. Legal MIS (Civil)

System generated MIS relating to Arbitration, Sec. 9, Sec.17, Sec.34 & Execution matters is downloaded by the Back Office Team at Central-Legal. The same is updated on a regular basis and circulated to all Recovery Heads, Zonal Legal Managers, and State Legal Managers monthly. Besides the MIS, various periodical trackers are also circulated i.e., SARFAESI MIS, Agreement Pendency from Operations Department, PDC retrieval and bounce memo pending from Treasury Department, etc. SARFAESI MIS circulated to Legal & Recovery Team (PAN India); Agreement Pending Tracker to Ops. Team, PDC retrieval and bounce memo pending from Treasury Department circulated to PDC & Treasury Team.

XIV. Sarfaesi Proceedings

The Securitization and Reconstruction of Financial Assets and Enforcement of Securities Interest Act, 2002 (also known as the SARFAESI Act) allows (Secured Creditors) i.e. banks and other financial institutions to enforce & auction residential or commercial properties to recover dues without the interference of Court or Tribunal.

A. **Pre Sarfaesi-Notice**: Pre-SARFAESI Notices are sent to all parties in loan accounts prior to the classification of NPA (on a request basis, with NCM approval and also in auto mode w.e.f. 01-04-2025 as per aforementioned initiation criteria) to support the collection activities at earlier buckets (pre-NPA stage).

B. **Initiation Criteria for SARFAESI:**

1. The account of the "Borrower'' is classified as Non- Performing Asset (NPA) in books of accounts (i.e., 90+ BKT & NPA REPORTED)
2. A mortgage must be created with the secured creditor to secure the debt.
3. Amount due (ODPOS) is more than 20% of Net Exposure Amount.

4. Mortgaged property is not Agricultural land.
5. (a) Amount due (ODPOS) is more than Rs.1 Lac.
   (b) ODPOS >=20 Lac.

SARFAESI will be initiated in all Linked Loan accounts in LAP Portfolio, where any of the Linked Loans is categorized as NPA in books of accounts and cumulative ODPOS is >=20 lakhs. The linked loans are identified manually basis details available in Loan viewer tab in Finnone.

C. Stages:

- **13(2) Notice (Maturity on 60 days)**

A Notice u/s 13(2) of Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (Act) will be issued to the borrower, co-borrower, and guarantor(Collectively shall be called "Borrower") to discharge their liabilities in full to the satisfaction of the Secured Creditor within 60 days from the date of Notice failing which the Secured Creditor shall be entitled to exercise all or any of the rights under the Subsection 4 of the Act.

In case of the death of any party to the agreement, Collection Team to ascertain the details of all Legal heirs and send notice to them. The notice will be sent to the address where the mortgaged property is located along with any other residential addresses or business addresses, as provided by the borrower in the application form through registered post with acknowledgement due. As per postal tracking, if the Notice is not delivered to the parties as an alternative service Paper Publication (in English & Vernacular Language) & Affixation on the mortgaged property will be conducted. In case the party has refused to accept the notice, the returned AD (Acknowledgement due card) card/postal tracking report is considered as proper service.

- **Representation/ Objections by the Borrower u/s 13(3A)**

The Borrower is entitled to make representation and raise his/her objections pursuant to the Notice upon the receipt of the Demand Notice u/s 13(2).

PFL/ Secured Creditor is entitled to reply indicating the reasons for acceptance/non- acceptance of the representation/ objection by the Borrower within 13 days (15 days as per act) upon the receiptof such representation/objection raised by the Borrower.

- **Symbolic Possession u/s 13(4)**

In case where Borrower fails to discharge their liabilities within the period of 60 days from the date of the notice under 13(2) (SARFAESI), PFL/Secured Creditor will try to take symbolic possession of mortgaged property by the issuance of 7 days' Notice u/s 13(4) by Post, Affixation & Publication (in English & Vernacular Language) (wherever applicable as the case may be).

Physical possession of Property: (Sec 14)

Where the authorized officer faces resistance while taking possession u/s 13 (4) he will file an application u/s 14 SARFAESI Act for taking physical possession of the mortgaged property, in writing to, the Chief Metropolitan Magistrate / District Magistrate within whose jurisdiction such property is situated, for obtaining required help of Police and/or revenue and/or other local authorities.

The Chief Metropolitan Magistrate/ District Magistrate will appoint an officer for taking physical possession of the property. Before physical possession of the property, the court order needs to be communicated to the local police asking for assistance.

An inventory list will be made for all the articles found in the mortgaged property. The customer will have to give a written declaration that all his valuables like jewelry, cash etc. have been taken by him. After taking physical possession, AO (Authorized officer) to ensure safe custody of mortgaged property along with movable items lying therein.
Possession notices along with Panchnama, inventory is sent to the borrower after taking physical and symbolic possession by way of Regd. Post and by way of affixation & publication (in English & Vernacular Language).

- **Voluntary Surrender of Secured Asset**

In the case where the Borrower voluntarily surrenders the Secured Asset then the Borrower will be requested to sign a surrender letter. The Panchnama will be signed by the Authorized Officer, two independent witnesses, and the customer.

An inventory list will be made of all the articles found in the mortgaged property. The customer will also have to give a written declaration that all his valuables like jewelry; cashetc. have been retrieved by him. This also needs to be signed by the authorized officer and two independent witnesses.

- **Sale of Secured Assets:**

Valuation & Fixation of Reserve Price
Repossessed property for Auction and sale post Physical possession of the property will be intimated to National Manager-Asset Disposal by Central Legal Team.
Central Legal team will send property possession intimation within 3 days from the date of possession along with:
1.Details of customer proposal & Property in Excel sheet
2. Scan of property documents
3. Inventory at the time of possession
4. Photographs at the time of possession

1. The Asset Disposal team will communicate with the Central Legal team, approval mail of reserve price, and the Name of the Auctioneer through which the auction will be conducted.
2. Based on information & approval, the Central legal team will issue 30 days Auction Notice to the customer by post, affixation & publication (in English & Vernacular Language), while fixing the auction date, EMD (Earnest Money Deposit) Amount, Last date for submission of bills, Dates for inspection of property.
3. The Central Legal team will share with the National Manager of Asset Disposal, the Paper Publication scan with auction timelines and AO details.

The Central Legal team is informed by National Manager-Asset Disposal regarding case closure in the system and for the issuance of the Sale Certificate. Sale Certificate is issued in favor of the successful bidder/purchaser by hand/post. The authorized Officer takes further steps, in coordination with the successful bidder/purchaser for registration of the Sale Certificate in the office of the Sub-Registrar within whose authority the mortgaged property is situated.

<u>Auction Failed Process:</u>

In the event of no bids in the auction and no bid is received directly then the auction will be considered as failed. If the National Manager-Asset Disposal decides to conduct the fresh auction, he will seek approval for a revised reserve price and request the Central Legal team for issuance of a fresh Auction Notice. The second and subsequent auction notice will be issued for a period of 15 days only.

Challenging SARFAESI Legal Action:

The SARFAESI Act gives the customer/any third party the right to challenge the SARFAESI proceedings by filing an application before in Debt Recovery Tribunal (DRT). He can file an appeal before DRAT against any Order passed by DRT. The process of Notices received in such cases will be handled and monitored as specified in Case Against Company section in the SOP.

SARFAESI Process Steps:

SARFAESI Process Description
SARFAESI initiation control file prepared factoring the initiation eligibility criteria by the initiation team after CFR is received by the 5th / 6th working day of the month. The SARFAESI initiation control file is prepared by a Central Legal Back-office team member and is reviewed by the Central legal initiation and back-office team leader (TL). [Eligibility criteria are already mentioned above.]
Cases get initiated that meet SARFAESI eligibility criteria post confirmation by the Accounts team mentioning the NPA date.
Document Availability (Loan Agreement, Application Form, TSR, COD) is checked in Oracle & Finnone. If the document(s) are not found in system, then the request is shared with Central OPS as applicable through mail.
Notices are generated through Mail Merge. Details captured in the Excel file for Mail Merge are extracted from the PMT report generated from Oracle and Documents (TSR, Collateral documents, etc.) are either downloaded from systrem or received from OPS team. SOA is also downloaded as a supporting document. There is a maker and checker process where a Central Legal Back-office team member prepares and TL checks and signs as an authorized officer.
SARFAESI Notice generation has a dependency on below Documents: 1. NPA Date 2. Loan Agreement, TSR, COD, MODT, Technical Report, Application Form, KYC, etc. TAT after receipt of the above documents - a. 30 working days from NPA Received Date / Complete Documents Receipt Date (whichever is higher) b. SARFAESI TL to monitor issuance and dispatch of the notices.(TAT of 7 days) Tracking and monitoring of SARFAESI cases done via SARFAESI MASTER MIS.
Delivery status is checked post 20 days from date of dispatch and updated in central master MIS. Central MIS is circulated to recovery / collections and legal team, once in beginning of the month containing details of all cases viz delivery status, ageing, development monitoring.
For non-delivered cases, status is updated in central MIS as Notice 13(2) affixation pending. This is tracked and monitored by TL. Pending cases are discussed with Recovery Team in Monthly review.

Photo of the SARFAESI notice affixation is shared by the recovery team over email as evidence of affixation. A soft-copy of the Affixation photo is maintained by Central Legal Back-office team member over email.
Soft copy of 13(2) Notice is kept in One drive of respective Team-member's system for any future requirement. Post issuance of notices, soft copy of the same shared with respective location (SLM/LO/etc.). Copy of Notices can be retrieved at any point of time from One Drive.
For all notices affixed on the mortgaged property, Newspaper publication is done in leading local Newspaper where the customer resides/carries on business. Photo of the publication wherever applicable is stored in One drive and simultaneously sent to Branch (SLM/LO) for future reference.Post publication, MIS is updated mentioning date of affixation and publication by central team. Newspaper publication for all the required cases is reviewed and tracked by SARFAESI-TL on a weekly basis. TAT for newspaper publication (in English & Vernacular Language) is 7 working days from the date of requestion (date of which mail confirmation of Affixation is received) which is monitored basis central MIS by team lead as part of review process.
1. Central MIS (Sarfaesi master MIS) for SARFASI is circulated to all stakeholders on monthly basis. 2. TL central team tracks case wise status on weekly basis. 3. Monthly review on Sec.14 order pending & execution pending status reviewed by NLH.
Sec 14, if filed basis below stated timelines: 1. **60** days **after** date of SAFAESI notice delivery. 2. 60 days **after** date of newspaper publication. Eligible cases for Sec 14 are tracked based on MIS as the cases are marked as matured for Sec 14 basis notice delivery / news publication date. Soft-copy of notice, dispatch proof and Newspaper Publication are sent to legal officer/local legal team/state legal manager of respective location within 7 working days from request date for filing of Sec 14. (If the matter rolls back below 90 Bkt or ODPOS becomes not eligible, scanned copy of documents will be sent as per requirement of RO Legal Team). The tracking and monitoring are being done basis of MIS (SARFAESI master MIS) circulation and the review done on a weekly basis by TL.
Authorized Officer of the Region sends notice 13(4) and does affixation where the same is mandatory. (List of Authorized Officer is reviewed on a half yearly basis and basis requirement of individual locations candidates are selected from Legal & Collection team and approval is taken in the upcoming Management Committee meeting to ensure there are sufficient Authorized Officers in each location.) The photo is captured as proof of affixation. The date on newspaper held while taking the affixation photo is taken for the date of affixation by Authorized Officer. The publication date is updated in SARFAESI Master MIS. Newspaper publication is done within 7 days from the date of affixation. TL central legal tracks these cases for TAT closure on a daily basis via SARFAESI MIS.
If the loan account is closed or becomes non-delinquent or there is approval of Head Collection/NCM/Legal Head, we stop further legal action under SARFAESI. Hold cases are tracked on a monthly basis through monthly CFR data.
1. SARFAESI master MIS is circulated to SLM, ZLM & NLM on a bi-monthly basis. 2. Respective SLM & ZLM reviews and ensure movement of the cases on a regular basis. 3. Monthly review on order pending status by NLM.
For any case to be closed/ held, closure is to be confirmed by the Accounts team or Head-Collection/NCM approval or CFR Data required.

XV. Cases Against Company:

Parties to the contract i.e., borrower, co-borrower, guarantor, dealer, employee, etc. sometime approached Courts, Tribunals, Statutory authority, or any other law enforcement authority for redressal of any dispute and thereby claiming damages, compensation, or any other relief against the company or its representative.

The knowledge of the filing of such cases, complaints, etc. comes to us through email ID of letters@poonawallafincorp.com (refer the SOP of Letter Handling). On receipt of such cases, legal FPR makes necessary entry in Oracle (Entry done by the regional legal team within 5 working days, except for cases where required details are not found in the notice copy) and assigns the matter to empaneled advocate in consultation with SLM/ZLM.

Apart from these cases filed against the company, legal FPR / SLM also needs to initiate criminal cases in the event of RBI reported fraud, etc. The Central CAC Team closely monitors these cases. Also, these types of cases are captured in separate Oracle modules viz., CBC. The report of which is circulated by the Central Legal Team periodically, i.e., once a month.

Roles And Responsibilities of CAC Team Based Out of HO and RO:

1. SLM monitors all pending CAC and CBC (Case By Company) cases and ensures timely filing of the written statement, reply, etc. within the stipulated period under the provision of the applicable Act.
2. Legal FPR, i.e., State Legal Manager / Legal Officer updates the case status, next date of hearing and / or any other development in Oracle on a monthly basis.
3. Team Leader – Central Legal Team advises FPRs from time to time (As & when information’s are obtained) on the filing of written versions and closely monitors to ensure the filing of the same within the stipulated period. The Central Legal team wherever required vets the written statements.
4. On disposal of the matter, SLM provides the order copy to the Central Legal Team along with all necessary annexures with the recommendation for filing appeal / compliance of the order. Soft copy is maintained over email.
5. Team Leader – Central Legal Team analyses such order considering the merit of the matter, cost-benefit analysis, and legal provision and takes necessary approval from NLH for either compliance of the order or preferring appeal before a higher forum. Upon receipt of the NLH approval, the same gets actioned accordingly.
6. Central Legal Team in coordination with location FPR/ SLM ensures that the appeal /revision etc. is preferred within time.
7. The said process is followed in civil and consumer cases and to some extent in criminal cases.
8. Central Legal Team evaluates the reason for losing cases and highlights the process lapse to concern vertical.
9. Central Legal Team circulates reports generated from the CAC Oracle module on a weekly basis and circulates with pan India legal team.
10. Team Leader – Central Legal Team decides the contingent liability of the entire CAC cases with NLH’s approval and shares the same with the Accounts team on a quarterly basis.
11. Central Legal Team keeps track of the statutory amount deposited on a monthly basis in Excel sheet before the Tribunals and follows up with FPR for their refund on completion of the case whenever eligible. Central Legal Team circulates a tracker on a weekly basis to RO Legal Team on pending SD cases and the same is monitored by Team Leader - Central Legal team.

12. The Central Legal Team gives the clearance of the assets lying in stockyard for auction sale on approval of NLH where CAC, fraud, and CBC is pending.

PROCESS TO BE FOLLOWED IN FRAUD CASES:

1. Once an issue is escalated to the Fraud Control team, the same gets investigated by FRM Team and publishes the report.
2. Based on the FRM instructions/ recommendation, the Central Legal team issues SCN (Show Cause Notice) to fraudster through Registered Post and share the notice copy and dispatch details with FRM & FCU teams within 3 working days for classifying loan account as Fraud in our book and report the account as fraud to RBI in line with rules laid down by RBI.

   The process has been updated for compliance with effect from 27th Jan'2025 and Upon consideration of responses of SCN, Designated authority shall issue a RO (Reasoned Order) to fraudster customer regarding fraud classification.

   Post issuance RO, TL -Central Legal takes the initiative to file appropriate legal cases viz., FIR, Police complaint, private complaint before Magistrate, etc. after 21 days after notice date. The same is tracked through the RBI Reported Fraud MIS, which is shared with FRM & FCU on a fortnightly basis.

XVI. Legal Remedies & Options

Although merits, facts, and circumstances of each case and procedural law of each state would determine the course of action to be initiated for recovery of our legitimate contractual dues payable to us in respect of any loan account! contract, the legal options available tous can broadly be discussed under the following two categories. Litigation Remedies.

a. Lok Adalat.

- This is a cost-effective process of counseling the borrower and an alternate dispute resolution tool with the assistance of the court which can be used for pre-litigation cases and pending legal cases.
- To approach the State Legal Services Authority under the Legal Aid Services Authority Act 1987 directly/through a lawyer to discuss the modus operandi, date, objective, no. of cases to be referred, panel, expenses, processes, and procedures to be adopted.
- The objective is to serve the Summons issued by the Lok Adalat through PFL authorized representative personally upon the customers and constantly/frequently/regularly counsel the borrowers and follow up / negotiate with an approved one time settlement offer which allures the borrower with some waiver, concession and to negotiate to convince the borrower to amicably settle both pre and pending legal cases on or before the date of the Lok Adalat.
- The advantage is that a compromise / consent decree obtained through the Lok Adalat canbe executed as a decree in a civil court of competent authority.
- The consent/compromise decree obtained through Lok Adalat must be signed by the presiding officer, the PFL official / Authorized Signatory & the borrower.
- If the borrower prefers to ignore the notice / summons issued by the Lok Adalat, nothing can be done to compel appearance.
- If the borrower appears and refuses to settle no action can be initiated.
- The Collection Managers and person representing behalf of PFL from the legal and recovery department, to take initiative in a Lok Adalat should be two-fold.

- Firstly, to convince the borrower to appear before the Forum / Lok Adalat bench by counseling the borrower.
- Secondly to arrive at a consent/compromise decree by offering reasonable waivers. For cases settled on or before the date of the Lok Adalat, the same may be recorded by a term of settlement signed by the PFL official / authorized signatory (In consensus with Collection Unit representative available) and the borrower and by making it a part of the compromise / consent decree signed by the Lok Adalat Judge as previously mentioned.
- All pre-litigation disputes as well as existing litigations including 138 complaints pending before the magistrate court can be put up for conciliation before the Lok Adalat.

b. Conciliation

- This is a cost-effective alternate / amicable dispute resolution tool with the assistance of a person to be appointed as Conciliator which can be used for pre litigation cases and pending legal cases. It is governed by the provisions of the Arbitration and Conciliation Act 1996. A Conciliation Award obtained through and passed by the Conciliator can be executed as a degree in a civil court of competent authority like the execution of an Arbitration Award. The venue can be decided and agreed to by the parties and the Conciliator.
- A notice under Sec 62 of the Arbitration and Conciliation Act, 1996 needs to be issued by the authorized person of PFL / duly appointed Conciliator to the Borrower / Co-Borrower /Guarantor summarizing /specifying the gist of disputes inviting them to conciliation. Date, Time & Address of Conciliation proceedings will be specified in this Notice.
- If the Customer / Guarantor consents to and accepts the said invitation to conciliation and the appointment of the Conciliator, then only, after consultation and affording reasonable opportunity to both parties a settlement agreement can be drawn up separately in terms of Section 73 of the Arbitration and Conciliation Act. The authenticated copies of the said settlement agreement must be provided to the parties. Thus, a Conciliation Award is passed by the Conciliator in terms of the settlement between the parties.
- The Conciliation Award obtained through and passed by the Conciliator in terms of the settlement between the parties must be signed by the Conciliator, the PFL official / Authorized Signatory & the Borrower /Co-Borrower/ Guarantor.
- If the Borrower, Co-Borrower, or Guarantor prefers to ignore the Conciliation notice issued by the authorized person of PFL; nothing can be done to compel their appearance, but it helps in creating a trail.
- If the Borrower / Co-Borrower / Guarantor appears and refuses to settle no action can be initiated but it again creates a trail.
- The Collection Manager's/authorized person of PFL's initiative in Conciliation Proceedings should be twofold:
- Firstly, to convince the Borrower / Co-Borrower / Guarantor- to appear before the Conciliator on the stipulated date by counseling the Borrower / Co-Borrower / Guarantor.
- Secondly to amicably arrive at a compromise term of settlement by mutual consent by offering reasonable waivers and concessions. For cases settled on or before the date of the Conciliation, the same may be recorded by a term of settlement signed by the PFL official /authorized signatory, the Borrower/Co- Borrower/Guarantor, and the Conciliator and by obtaining a Conciliation Award as previously mentioned. Both these

objectives can be achieved by offering permissible approved waivers / concessions to the Borrowers / Co-Borrower's / Guarantors and persuading and convincing them to believe that these waivers are PFL goodwill gestures offered on a "one-time basis" and cannot be offered in the regular course after the date of the Conciliation, so it is a one-time opportunity to avail.

X. Other Remedies in Criminal Proceeding:

Apart from legal remedies, such as Arbitration, Sec.9, Sec.17, Sec.138/25, SARFAESI, Lok Adalat, PFL may also initiate the following actions on a need/exception basis after taking approval from NCM/Head Collection/Head Legal.

- **Police Complaint** – This is the easiest way of initiating a criminal complaint. The Collection Manager may be in consultation with the Legal Officer to explore the option of filing a Police Complaint and get a resolution out of this since a police complaint is most effective in terms of cost, time, and result. A good liaison with the police station concerned will help the cause. Assistance will also be taken from the local empaneled lawyer who is able to exercise favorable influence.

- **Private Complaint** – Where the Police do not register our complaint, we can file an application u/s 156(3) of CrPC (Code of Criminal Procedure Act, 1973), seeking Court directions upon the Police for registration of the case and investigation of the case. In many cases, we directly file a Private Complaint before the magistrate, instead of approaching the Police, for taking cognizance of the Criminal offense, after preliminary evidence.

XVII. Legal Expenses & Approval Matrix

The 'Legal Expenses' incurred are categorized into the following types:

a) Bills submitted by Advocates
b) Payment as per Court Order, such as Receiver's remuneration, compensation to be paid, etc.
c) Statutory deposit, Lok Adalat Expenses, Court fees, stamp duties, stamp papers required at various times such as during filing case / appeal, etc.
d) Any other related expenses.
e) Advocate Bill amount indicated here are against each Loan no. and are not the consolidated amount of a bill.
f) Civil cases include Arbitration, Sec 9, Sec 17, Sec.34, execution, and other civil cases against or by Company.
g) Criminal cases include Sec 138, and all criminal cases filed by Company or against the Company.
h) Expenses related to travel, conveyance, boarding, and lodging incurred by receivers, retainers, Advocates, and such non-PFL personnel for legal-related work
i) Expenses which are miscellaneous in nature, where bills are not available & incurred by Legal personnels. Examples of such expenses are departmental expenses relating to the execution of Legal instruments i.e., Sec.9 Order, Decree and Summon / Warrant / PO execution, bailiff, etc.

All expenses related to CAC, Court Fees, and Fraud matters shall be approved and tagged to Legal.

The Approval Matrix for all the above nature of expenses will be as follows: Expenditure Authority's Matrix published by Accounts Dept.

Expense Limits	**Legal Expenses (HO & Branch)**	**Legal Expenses-Employee Matters**
Upto Rs.2 Lakhs	National Head Legal	National Head Legal
Above Rs. 2 Lakhs to Rs. 10 Lakhs		
Above Rs. 10 Lakhs to Rs. 25 Lakhs	Above + CXO	Above + Head HR
Rs. 25 Lakhs to Rs.1 Crore	Above + CFO	Above + CFO
Re.1 Crore to Rs.25 Crore	Above + Executive Director	Above + Executive Director
Above Rs.25 Crore	Above + MD	Above + MD

****Above mentioned Legal Authority Matrix is applicable w.e.f. 31-01-2025.**

Policy on Appointment of Advocates

Based on the recommendation from SLMs and approval of ZLM & Legal Head, the Law Firm / Advocate get empanelment. The fee structure is mentioned as per the standard Fee Grid; any deviation is to be approved by Legal Head in consultation with SLM & ZLM.

The following lists of documents are shared with the Central-Legal team:

a. Request a Letter obtained from the lawyer preferably on his Letter Head or E-Mail.
b. Copy of the PAN Card.
c. Copy of Enrolment Certificate / Letter issued by the Bar Council concerned / Copy of Membership Card of the Local Bar Association.
d. Profile of the lawyer/Resume on his letterhead.
e. Cancelled Cheque and
f. Vendor evaluation report.
g. Address Proof *(Voter Card/ AADHAAR Card/ Driving License/ Govt. Electricity Bill / Phone Bill / Bank Passbook – Latest 2 Months)

The Central-Legal Billing team then prepares the vendor code in the CCA system. About duplicate Vendor Code creation, it is always checked by Central Legal Billing Team before the creation of new code.

Central-Legal issues the empanelment letter containing fees structure to the concerned advocate in the prescribed format.

A copy of the letter of empanelment countersigned by the Law Firm / Advocate and returned to the Central-Legal team as a token of acceptance physically or acknowledged scan copy through e-mail. Physical copies stored by the Central Legal Team in Office Cabinet as received from Branch Legal and later archived with Storage Vendor.

Policy on Appointment of Enforcement Agency:

Enforcement Agency performs tasks related to SARFAESI activities for possession of property in terms of Order and other allied activities.

Based on the recommendation from SLMs and approval of ZLM & Legal Head, the Enforcement Agency get empanelment. A standard Service Agreement duly vetted by the Corporate Legal team covering all Terms & Conditions, Scope of Work and Commercials, is signed by Legal Head and by Agency. Any deviations and Agency fees are to be approved by the Legal Head on the recommendation of SLM & ZLM/NLM.

The following lists of documents are required from the Enforcement Agency:

a. Request Letter, preferably on Agency's Letter Head or E-Mail.
b. Copy of the PAN Card.
c. Profile of the Agency.
d. Cancelled Cheque and
e. Address Proof *(Voter Card/ AADHAAR Card/ Driving License/ Govt. Electricity Bill / Phone Bill / Bank Passbook – Latest 2 Months)
f. Partnership Deed (if Agency is a Partnership Firm)
g. Certificate of Incorporation (if Agency is a Company)

After execution of the Service Agreement, the Central-Legal Billing team then creates Vendor Code in Oracle Fusion system. About duplicate Vendor Code creation, it is always checked by Central Legal Billing Team before the creation of new code.

A copy of the Service Agreement is sent to Central-Legal team by RO Legal Team through E-mail and Original Service Agreement is kept with RO Legal team only.

Steps followed for Advocate/ Vendor Bill Processing:
1. Central Legal Back-office team member receives the advocate/ vendor bills along with the top sheet format (excel sheet) from the branch. State legal Manager and/or Central Legal concerned FPR recommends subsequently.

2. The Central Legal Back-office team member downloads the legal activity report from the legal module available in Oracle and conducts a reconciliation to validate the correctness of data (Case no., advocate name, date of filing, next date of hearing, and brief status) mentioned in the top sheet data. In case of any discrepancies, the same is shared with the branch for resolution.

3. Central Legal Back-office team members then filter on the nature of the case (e.g., execution in the lower court) in the top sheet file and filters on an advocate's name, and checks the brief status mentioned in the file with the entries passed in the Legal module in Oracle to validate the stage. Post verifying the stage, the Central Legal Back-office team member checks the advocate pay-out grid available with him with the bill amount and finally forwards the data to Central Legal Back-Office TL for checking.

4. Central Legal Back-office TL checks the top sheet data and sends it to National Head-Legal for approval.

5. After obtaining Legal Head approval by mail, a Central Legal back-office team member generates and shares the system (CCA) generated top sheet (state-wise for each Advocate) along with a consolidated summary of payouts for vendors/Advocates and detailed Excel with Top Sheet No. Top

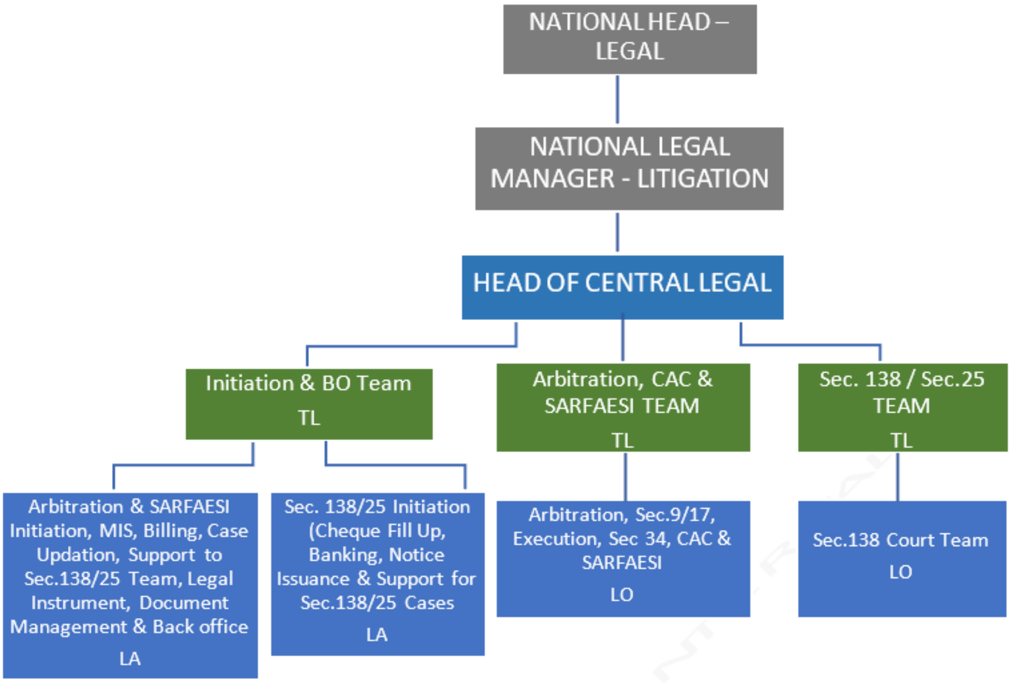
sheet data along with Advocate Bills & Legal Head approval mail are sent to HO Accounts for processing the payments.

Data sharing with Legal Vendors

Any data shared with Legal Vendors containing PII Data will be password protected. (w.e.f. 01-07-25)

XVIII. Legal Team Structure

A. Legal Team Structure – Central Legal



B. Legal Team Structure - RO